
Question #1 of 120

Question ID: 1214789

Questions 1 through 18 relate to Ethical and Professional Standards. (27 minutes)

Adam Schute, CFA, is on a conference call with the CFO of an investment banking client with his phone speaker on and his door open. As a result, salesmen and traders overhear the CFO describing problems with production target dates that have not been publicly disclosed. The salesmen relay this information to clients and the traders reduce their positions in the stock. With respect to the Standard on material nonpublic information, Schute has:

- A) not violated the Standard because he has not acted on the information, but the traders and salesmen have violated the Standard.
- B) violated the Standard because he should have taken steps to prevent the dissemination of the information.
- C) violated the Standard by not making the information public when he realized others had overheard the call.

Question #2 of 120

Question ID: 1214800

Peter Wellington has changed his status in marketing materials to "Level III CFA candidate." Wellington passed the Level II CFA exam and just received his results. He intends to register for the next Level III CFA examination that is offered the following June. Wellington has:

- A) not violated the Standards of Professional Conduct.
- B) violated the Standard on conduct as participants in CFA Institute programs.
- C) violated the Standard on reference to the CFA Institute, the CFA Designation, and the CFA Program.

Question #3 of 120

Question ID: 1214802

Which of the following statements relating to the Global Investment Performance Standards (GIPS®) is *least accurate*?

- A) Only investment management firms may claim compliance with GIPS.
- B) GIPS represent standards to which members of CFA Institute and CFA candidates must adhere.
- C) To claim GIPS compliance, a firm must present at least five years (or since its inception if less than five years) of annual investment performance that complies with GIPS.

Question #4 of 120

Question ID: 1214794

When he assumed the job of compliance officer two years ago, Ed Michaels, CFA, issued written compliance procedures and made all covered employees aware of the procedures. A report by an external auditor found that on several occasions over the past two years, two different employees traded in recommended securities ahead of trades made in managed client accounts. Michaels fires both employees and recirculates the written compliance procedures that explain clearly which activities are prohibited. Michaels has violated the Standard concerning:

- A) Responsibilities of Supervisors by firing the employees instead of restricting their activities.
- B) Responsibilities of Supervisors by failing to implement reasonable procedures to detect violations.
- C) Misconduct because, as the compliance officer, he is associated with, and ultimately responsible for, the unethical activity.

Question #5 of 120

Question ID: 1214797

Ralph Malone, CFA, has many clients, including a trust account that benefits three of his immediate family members. His firm changes its recommendation on a stock from "hold" to "buy" on a security that is suitable for many clients, including the trust. Which of the following would be considered a violation of the Standard concerning priority of transactions?

- A) Malone waits until after the firm purchases the security to buy it for the family trust account.
- B) Malone trades on the family account shortly after his firm's clients have been informed of the buy recommendation.
- C) The firm gives clients time to act on the new recommendation and then buys 100,000 shares for its own account prior to publicly disclosing the new recommendation.

Question #6 of 120

Question ID: 1214795

Patricia Nelson, CFA, is informed by one of her clients that if she can get the performance of the client firm's pension portfolio above that of the Standard & Poor's average by year-end, the client will give her a free trip to Singapore to visit the firm's offices. If Nelson agrees to this arrangement, which of the following actions complies with CFA Institute Standards of Professional Conduct? Nelson:

- A) must inform her employer of this agreement but does not need consent.
- B) must inform her employer of this agreement and may accept it with verbal consent.
- C) may inform her employer by email of this agreement and must receive written consent.

Question #7 of 120

Question ID: 1214796

John Anderson, CFA, follows Radley Manufacturing for his employer, Atlas Brokers. Radley has announced a takeover bid for Palmer Industries, a company that Atlas does not follow. To get out a research note about the potential effects of the acquisition on Radley,

Anderson purchases a report on Palmer from a research firm Atlas regularly uses. Anderson incorporates projections and analysis from the purchased report into his research note on what a post-acquisition Radley would look like but does not cite the source. Anderson has violated the Standard on:

- A) misrepresentation.
 - B) independence and objectivity.
 - C) diligence and reasonable basis.
-

Question #8 of 120

Question ID: 1214786

Roger Smith, CFA, has been invited to join a group of analysts in touring the riverboats of River Casino Corp. For the tour, River Casino has arranged chartered flights from casino to casino since commercial flight schedules are not practical for the group's time schedule. River Casino has also arranged to pay for the analysts' lodging for the three nights of the tour. According to CFA Institute Standards of Professional Conduct, Smith:

- A) may accept the arrangements as they are.
 - B) may accept the flight but is required to pay for his lodging.
 - C) is required to pay for his flight and lodging.
-

Question #9 of 120

Question ID: 1214803

When calculating the performance of a composite, which of the following actions complies with GIPS?

- A) Defining a composite so as to include portfolios that have been discontinued.
 - B) Assigning each portfolio to a single composite at the end of the year based on its holdings over the year.
 - C) Calculating a composite's return as the mean annual total return of portfolios assigned to the composite.
-

Question #10 of 120

Question ID: 1214798

Susan Smart, CFA, is about to change her "buy" recommendation on RollinsCo to "sell." RollinsCo had been growing rapidly over the past year, but Smart believes the growth potential is now gone. Smart sells the shares held in her discretionary client accounts and in her own personal account before issuing her report. According to the Standards that concern fair dealing and priority of transactions, Smart violated:

- A) both of these Standards.
 - B) neither of these Standards.
 - C) only one of these Standards.
-

Question #11 of 120

Question ID: 1214790

Matt Jacobs, CFA, recommended to a client that he buy shares in Timeco, which has subsequently underperformed the market. Timeco stock is thinly traded, and its price has decreased sharply over the past few weeks because two insiders have sold large blocks of shares. Jacobs believes this price decrease reflects an illiquid market. Because he still believes Timeco is a good long-term investment, he buys shares for his personal account in order to raise the price and help him convince his client to hold on to his investment in Timeco. Has Jacobs violated the Standards?

- A) No, because the trade is for the benefit of his client.
 - B) Yes, because he intended to manipulate the market price of Timeco.
 - C) No, because he is providing liquidity to offset the effects of the recent large insider sales.
-

Question #12 of 120

Question ID: 1214791

William Rex, CFA, has a one-man firm that manages investment portfolios. In his marketing materials, Rex presents the asset-weighted returns for accounts he has managed over the last five years and does not disclose that the first two years of his performance history were achieved at a previous firm. He also includes simulated results of a stock selection model he employs and indicates that they are from a simulation. Has Rex violated any CFA Institute Standards of Professional Conduct?

- A) No.
 - B) Yes, failing to disclose that two years of his performance results were with a previous employer is a violation, but including the simulated results is acceptable.
 - C) Yes, both by failing to disclose that two years of his performance results were with a previous employer and by including the simulated, rather than actual, performance results.
-

Question #13 of 120

Question ID: 1214787

Tony Roberts, CFA, is part of a team that manages equities accounts. He believes that a teammate, who is not a CFA Institute member or candidate, takes actions that, while not illegal under local law, violate CFA Institute Standards of Professional Conduct. According to the CFA Institute Standards of Professional Conduct, Roberts:

- A) is required to dissociate from the team's activities if they continue.
 - B) is not required to act because the Code and Standards do not apply to non-members.
 - C) must report the suspected violations of the Code and Standards first to his supervisor and then to CFA Institute.
-

Question #14 of 120

Question ID: 1214788

Judy Blush is a CFA candidate and is recommending the purchase of a mutual fund that invests solely in long-term U.S. Treasury bonds (T-bonds) to one of her clients. She states: "Because the U.S. government guarantees payment of both principal and interest on its bonds, risk of loss from investing in this fund is virtually zero." Blush's actions violated:

- A) the Standard on misrepresentation.

- B) the Standard on communication with clients.
 - C) none of the Standards of Professional Conduct.
-

Question #15 of 120

Question ID: 1214801

Which of the following actions is *least likely* a violation of the Standard concerning conduct as participants in CFA Institute programs?

- A) A member anonymously posts a disparaging comment about CFA Institute policies on an internet message board.
 - B) A member fails to disclose a formal complaint from a client on her annual Professional Conduct Statement.
 - C) A candidate discusses which topics were emphasized on the June Level I CFA exam with a candidate for the December exam.
-

Question #16 of 120

Question ID: 1214792

According to the Standard concerning suitability, it is *most likely* that members and candidates in advisory relationships with clients should:

- A) document unsuccessful attempts to update client information.
 - B) purchase only securities with low to medium risk for a client with moderate risk tolerance.
 - C) decline to manage assets for clients who withhold important information about their financial circumstances and needs.
-

Question #17 of 120

Question ID: 1214799

William Rogers, CFA, is a commercial insurance broker who sometimes recommends money managers to his high net worth clients. For those clients who hire the managers, the managers pay Rogers a percentage of the management fees on the account. Rogers tells prospects, "I receive referral fees from the money managers if you employ them." Rogers has:

- A) not violated the Standards.
 - B) violated the Standard concerning referrals.
 - C) violated the Standard on communications with clients and prospects.
-

Question #18 of 120

Question ID: 1214793

Byron Bell, CFA, tells his assistant that Mary Mitchel, a client of his, confided to him that she is suffering from the early stages of Alzheimer's disease and that she is planning to leave almost all of her sizable estate to Prather House, a support facility for Alzheimer's patients. Bell directs his assistant to keep this information confidential. With respect to the Standard on preservation of confidentiality, Bell has:

- A) not violated the Standard.
- B) violated the Standard by sharing information about his client's health but not about planned bequest to Prather House.
- C) violated the Standard both by sharing the information about his client's health and about her planned bequest to Prather House.

Question #19 of 120

Question ID: 1214804

Questions 19 through 30 relate to Quantitative Methods. (18 minutes)

A client plans to retire in 15 years and will need to withdraw \$50,000 from his retirement account each year for 10 years, beginning on the day he retires. After that, he will need to withdraw \$20,000 per year for 25 years. The account returns 4% annually. The amount he needs to have in the account on the day he retires is *closest* to:

- A) \$580,000.
- B) \$640,000.
- C) \$655,000.

Question #20 of 120

Question ID: 1214805

A company reports its past six years' earnings growth at 10%, 14%, 12%, 10%, –10%, and 12%. The company's average compound annual growth rate of earnings is *closest* to:

- A) 7.7%.
- B) 8.0%.
- C) 8.5%.

Question #21 of 120

Question ID: 1214806

The following table summarizes the results of a poll (hypothetically) taken of CFA charterholders and CFA candidates regarding the importance of a continuing education requirement after the CFA designation is obtained:

Group	In Favor of a Continuing Education Requirement	Against a Continuing Education Requirement
CFA charterholders	235	765
CFA candidates	180	820

Given the information that a member of the group is in favor of a continuing education requirement, what is the probability that she is a CFA candidate?

- A) 18%.
- B) 37%.
- C) 43%.

Question #22 of 120

Question ID: 1214809

Which of the following statements about common probability distributions is *least accurate*?

- A) A probability distribution specifies the probabilities of the possible outcomes of a random variable.
- B) In a binomial probability distribution, each observation has only two possible outcomes that are mutually exclusive.
- C) A normal distribution is a discrete symmetric probability distribution that is completely described by two parameters: its mean and variance.

Question #23 of 120

Question ID: 1214808

For a binomial random variable with a 40% probability of success on each trial, the expected number of successes in 12 trials is *closest* to:

- A) 4.8.
- B) 5.6.
- C) 7.2.

Question #24 of 120

Question ID: 1214810

An investor is considering investing in one of the following three portfolios:

Statistical Measures	Portfolio X	Portfolio Y	Portfolio Z
Expected annual return	12%	17%	22%
Standard deviation of return	14%	20%	25%

If the investor's minimum acceptable return is 5%, the optimal portfolio using Roy's safety-first criterion is:

- A) Portfolio X.
- B) Portfolio Y.
- C) Portfolio Z.

Question #25 of 120

Question ID: 1214815

An analyst is testing the hypothesis that the variance of monthly returns for Index L equals the variance of monthly returns for Index M based on samples of 50 monthly observations. The sample variance of Index L returns is 0.085, whereas the sample variance of Index

M returns is 0.084. Assuming the samples are independent and the returns are normally distributed, which of the following represents the *most appropriate* test statistic?

- A) $\frac{\text{sample variance of Index L}}{\text{sample variance of Index M}}$.
 - B) $\frac{\text{variance of Index L} - \text{variance of Index M}}{\text{standard error of squared differences}}$.
 - C) $\frac{(\text{degrees of freedom}) \times (\text{Index L sample variance})}{\text{Index M sample variance}}$.
-

Question #26 of 120

Question ID: 1214807

If the probability of event J multiplied by the probability of event K is not equal to the joint probability of events J and K, then events J and K are *most likely*:

- A) dependent events.
 - B) independent events.
 - C) mutually exclusive events.
-

Question #27 of 120

Question ID: 1214812

Alan Barnes, CFA, is interested in the expected return on the FTSE 100 stock index next quarter. He has data for the last five years and calculates the average return on the index over the last 20 quarters. This average return:

- A) is different from the parameter he is trying to estimate by the amount of the sampling error.
 - B) overstates the return because he should divide by the square root of 20 when using a mean value.
 - C) overstates the expected return because he should have used the geometric mean and not the simple average.
-

Question #28 of 120

Question ID: 1214814

Which of the following statements regarding the significance level of a hypothesis test is *most accurate*?

- A) Given a significance level of 5%, a test will reject a true null hypothesis 5% of the time.
 - B) If the significance level of a test is 5%, it will yield the correct decision about the null hypothesis 95% of the time.
 - C) If the significance level of a test is 95%, it will yield the correct decision about the null hypothesis 95% of the time.
-

Question #29 of 120

Question ID: 1214811

A researcher needs to choose a probability distribution for the price of an asset that is quite volatile in order to simulate returns outcomes. She has a program that will generate random variables from any of a variety of distributions. The *most appropriate* distribution for her to select to generate the asset price distribution is a:

- A) normal distribution.
- B) lognormal distribution.
- C) Student's *t*-distribution.

Question #30 of 120

Question ID: 1214813

Excerpts from statistical tables:

Student's *t*-Distribution

Level of Significance for Two-Tailed Test			
df	0.10	0.05	0.01
27	1.703	2.052	2.771
28	1.701	2.048	2.763
29	1.699	2.045	2.756

Cumulative *z*-Table

<i>z</i>	0.07	0.08	0.09
1.2	0.8980	0.8997	0.9015
1.3	0.9147	0.9162	0.9177
1.4	0.9292	0.9306	0.9319

An analyst has a sample of 28 observations of the mean weekly return of an index portfolio that includes 50 stocks. The weekly returns are approximately normally distributed, and the sample mean and sample variance are 1.2% and 0.00175. A 90% confidence interval for the population mean is *closest* to:

- A) -5.702% to 8.102%.
- B) -5.916% to 8.315%.
- C) -5.924% to 8.324%.

Question #31 of 120

Question ID: 1214823

Questions 31 through 42 relate to Economics. (18 minutes)

If investors' expected future incomes increase and the demand for financial capital increases, other things equal:

- A) the equilibrium interest rate will rise.
- B) the equilibrium interest rate will fall.

C) these two factors will have opposing effects on the equilibrium interest rate.

Question #32 of 120

Question ID: 1214824

Assume that the required reserve ratio is 20%, and banks currently have no excess reserves. If the Federal Reserve then buys \$100 million of Treasury bills from the banks, the money supply could potentially increase by:

- A) \$20 million.
 - B) \$100 million.
 - C) \$500 million.
-

Question #33 of 120

Question ID: 1214821

If the number of employed remains constant, what effects will a decrease in the labor force have on the unemployment rate?

- A) Increase.
 - B) Decrease.
 - C) No effect.
-

Question #34 of 120

Question ID: 1214826

The country of Hokah can produce 35 units of cheese or 30 units of leather with one hour of labor. The country of Ymer can produce 20 units of cheese or 25 units of leather with one hour of labor. Which of the following statements is *most accurate*?

- A) Ymer's opportunity cost of one unit of leather is 0.80 units of cheese.
 - B) Hokah's opportunity cost of one unit of cheese is 1.167 units of leather.
 - C) Hokah has an absolute and a comparative advantage in both cheese and leather.
-

Question #35 of 120

Question ID: 1214820

Short-run disequilibrium is *most likely* to be associated with a decreasing price level if it results from a decrease in:

- A) both aggregate demand and short-run aggregate supply.
 - B) aggregate demand, if short-run aggregate supply is unchanged.
 - C) short-run aggregate supply, if aggregate demand is unchanged.
-

Question #36 of 120

Question ID: 1214818

If the government regulates a natural monopoly and enforces an average cost pricing, what are the effects on output quantity and price compared to an unregulated natural monopoly?

- A) Both are lower under average cost pricing.
 - B) Both are higher under average cost pricing.
 - C) One is higher and one is lower under average cost pricing.
-

Question #37 of 120

Question ID: 1214827

Assume that one year ago, the exchange rate between the Japanese yen and the euro was 100 JPY/EUR, and the exchange rate between the Japanese yen and the U.S. dollar was 80 JPY/USD. Current exchange rates are 104.2 JPY/EUR and 76.6 JPY/USD. Which of the following statements is *most accurate*?

- A) The USD has depreciated relative to the EUR.
 - B) The JPY has depreciated 4.2% relative to the EUR.
 - C) The current U.S. dollar to euro exchange rate is approximately 1.25 USD/EUR.
-

Question #38 of 120

Question ID: 1214817

Oligopolists have an incentive to cheat on collusive agreements in order to:

- A) avoid competitive practices.
 - B) increase their individual share of the joint profit.
 - C) restrict output and put upward pressure on price.
-

Question #39 of 120

Question ID: 1214822

If the inflation rate was -4% in 20X1, -2% in 20X2, and -1% in 20X3, the economy is *most accurately* described as experiencing:

- A) deflation.
 - B) contraction.
 - C) disinflation.
-

Question #40 of 120

Question ID: 1214819

With respect to the IS-LM model, in an LM curve the real interest rate is:

- A) positively related to real income, holding the real money supply constant.
- B) held constant, resulting in excess savings being positively related to real income.
- C) negatively related to real income, holding the marginal propensity to save constant.

Question #41 of 120

Question ID: 1214816

An individual sees her income rise from \$80,000 to \$88,000, and along with it, her consumption of Good X has decreased from eight dozen packages per year to six dozen packages per year. Good X should be classified as:

- A) a normal good.
- B) a Veblen good.
- C) an inferior good.

Question #42 of 120

Question ID: 1214825

The Keynesian view suggests that the government can reduce aggregate demand by using:

- A) restrictive fiscal policy to shift the government budget toward a surplus (or smaller deficit).
- B) restrictive fiscal policy to shift the government budget toward a deficit (or a smaller surplus).
- C) expansionary fiscal policy to shift the government budget toward a surplus (or a smaller deficit).

Question #43 of 120

Question ID: 1214835

Questions 43 through 60 relate to Financial Reporting and Analysis. (27 minutes)

Selected year-end values for Able, Inc., are presented in the following tables:

Balance Sheet Items	December 31, 20X2	December 31, 20X1
Accounts receivable	\$19 million	\$21 million
Trade payables	\$14 million	\$16 million
Inventory	\$31 million	\$28 million

Income Statement Items	December 31, 20X2
Net income	\$42 million
Loss on sale	\$3 million
Depreciation	\$2 million
Dividends paid	\$1 million

Based only on the data in the tables, 20X2 cash flow for operations for Able, Inc., is:

- A) \$43 million.
- B) \$44 million.
- C) \$45 million.

Question #44 of 120

Question ID: 1214831

Which of the following items affects owners' equity but is not included as a component of net income?

- A) Depreciation.
- B) Dividends received on shares of another company classified as available for sale.
- C) Foreign currency translation gains and losses.

Question #45 of 120

Question ID: 1214839

Gordon, Inc., reports using the LIFO cost method. In notes to its financial statements, Gordon discloses inventory of 500 units in 20X1 and 510 units in 20X2 and states a LIFO reserve of \$50,000 in 20X1 and \$48,000 in 20X2. These inventory disclosures *most likely* reflect:

- A) decreasing demand.
- B) decreasing prices.
- C) a LIFO liquidation.

Question #46 of 120

Question ID: 1214837

Which of the following statements about financial ratios is *most accurate*?

- A) Any firm with a high net profit margin will have a high gross profit margin and vice versa.
- B) A company with a high debt-to-equity ratio will have a return on assets that is greater than its return on equity.
- C) A company that has an inventory turnover of 6 times, a receivables turnover of 9 times, and a payables turnover of 12 times will have a cash conversion cycle of approximately 71 days.

Question #47 of 120

Question ID: 1214836

An analyst gathered the following information about a company:

Cash flow from operations	\$800
Purchase of plant and equipment	40
Sale of land	30
Interest expense	80
Depreciation and amortization	100

The company has a tax rate of 35% and prepares its financial statements under U.S. GAAP.

The company's free cash flow to the firm (FCFF) is *closest* to:

- A) \$840.
 - B) \$870.
 - C) \$940.
-

Question #48 of 120

Question ID: 1214832

For which of the following balance sheet items is a change in market value *most likely* to affect net income?

- A) Debt securities issued by the firm.
 - B) Equity securities purchased by the firm.
 - C) Debt securities that the firm intends to hold until maturity.
-

Question #49 of 120

Question ID: 1214828

Gus Davy, CFA, is reviewing an industry that has been experiencing rising prices as well as unit volume growth. Davy's investment criteria include selecting companies generating the highest profit margins. If Davy does not adjust companies' financial statements for their inventory cost assumptions, he is *most likely* to select companies that use:

- A) FIFO.
 - B) LIFO.
 - C) weighted average cost.
-

Question #50 of 120

Question ID: 1214844

A company using LIFO reports the following:

- Cost of goods sold was \$27,000.
- Beginning inventory was \$6,500, and ending inventory was \$6,200.
- The beginning LIFO reserve was \$1,200.
- The ending LIFO reserve was \$1,400.

The *best* estimate of the company's cost of goods sold on a FIFO basis would be:

- A) \$21,300.
 - B) \$26,800.
 - C) \$27,500.
-

Question #51 of 120

Question ID: 1214830

An analyst gathered the following data about a company:

- 1,000,000 shares of common are outstanding at the beginning of the year.
- 10,000 6% convertible bonds (conversion ratio is 20 to 1) were issued at par June 30 of this year.
- The company has 100,000 warrants outstanding all year with an exercise price of \$25 per share.
- The average stock price for the period is \$20, and the ending stock price is \$30.

If the convertible bonds are considered dilutive, the number of shares of common stock that the analyst should use to calculate diluted earnings per share is:

- A)** 1,000,000.
 - B)** 1,100,000.
 - C)** 1,266,667.
-

Question #52 of 120

Question ID: 1214840

Degen, Inc., owns a trademark which it originally valued at €15 million on its balance sheet but currently values at €10 million. In the country where Degen is incorporated, trademarks are protected by law for as long as their owner remains a going concern. Degen has *most likely*:

- A)** developed its trademark at a cost of €15 million.
 - B)** recorded amortization expense of €5 million on its trademark.
 - C)** recognized €5 million of impairment charges on its trademark.
-

Question #53 of 120

Question ID: 1214838

Which of the following ratios is a component of the original (three-part) DuPont equation?

- A)** Asset turnover.
 - B)** Gross profit margin.
 - C)** Debt-to-equity ratio.
-

Question #54 of 120

Question ID: 1214829

Harding Corp. has a permanently impaired asset. The difference between its carrying value and the present value of its expected cash flows should be written down immediately and:

- A)** reported as an operating loss.
 - B)** charged directly against retained earnings.
 - C)** reported as a non-operating loss in other comprehensive income.
-

Question #55 of 120

Question ID: 1214842

If market interest rates have changed materially since a firm issued a bond, and the firm uses the effective interest rate method, how is a change in the market value of the firm's debt *most likely* to be reported in the firm's financial statements?

- A) The gain or loss in market value must be calculated and disclosed in the footnotes to the financial statements.
 - B) Net income and equity are unaffected, but the change may be discussed in management's commentary.
 - C) Net income is unaffected, but the change in market value is recorded in other comprehensive income.
-

Question #56 of 120

Question ID: 1214841

Which of the following statements regarding deferred taxes is *least* accurate?

- A) A permanent difference is a difference between taxable income and pretax income that will not reverse.
 - B) A deferred tax asset is created when a temporary difference results in taxable income that exceeds pretax income.
 - C) Deferred tax assets and liabilities are not adjusted for changes in tax rates.
-

Question #57 of 120

Question ID: 1214833

The direct method of reporting operating cash flow:

- A) is preferred by analysts and commercial lenders.
 - B) is the most frequently used method under both U.S. GAAP and IFRS.
 - C) shows the reasons for differences between net income and operating cash flows.
-

Question #58 of 120

Question ID: 1214843

Jordan Loney, CFA, issues a "sell" recommendation on Sullivan Company because she believes its financial reporting quality is low. Loney writes, "Rapid turnover of key employees in its information systems and accounting units have made Sullivan's internal monitoring controls ineffective." Which condition that may lead to low-quality financial reporting has Loney detected at Sullivan?

- A) Opportunity.
 - B) Motivation.
 - C) Rationalization.
-

Question #59 of 120

Question ID: 1214877

At the beginning of the year, a firm securitizes half of its accounts receivable and uses the proceeds to pay down principal on a long-term bank loan. These transactions will:

- A) increase the firm's current ratio.
 - B) decrease the firm's debt-to-equity ratio.
 - C) decrease the firm's interest coverage ratio.
-

Question #60 of 120

Question ID: 1214834

Interest paid is reported as an operating cash outflow under:

- A) U.S. GAAP, but may be reported as a financing cash flow under IFRS.
 - B) IFRS, but may be reported as an investing cash flow under U.S. GAAP.
 - C) U.S. GAAP, but must be reported as either an investing or financing cash flow under IFRS.
-

Question #61 of 120

Question ID: 1214853

Questions 61 through 72 relate to Corporate Finance. (18 minutes)

Business risk is *best* described as resulting from the combined effects of a firm's:

- A) financial risk and sales risk.
 - B) sales risk and operating risk.
 - C) operating risk and financial risk.
-

Question #62 of 120

Question ID: 1214845

Which of the following relationships among a company's stakeholders is *most accurately* described as a principal-agent relationship?
The relationship between a company's managers and its:

- A) creditors.
 - B) regulators.
 - C) shareholders.
-

Question #63 of 120

Question ID: 1214850

The amount of a company's optimal capital budget is *most accurately* determined by the point on the company's investment opportunity schedule:

- A) where the amount of new capital raised is at its minimum.

- B) where it intersects the company's marginal cost of capital curve.
 - C) where the expected return on the next potential project is at its maximum.
-

Question #64 of 120

Question ID: 1214855

A company is *most likely* faced with a drag on liquidity if its:

- A) weighted average collection period increases from 42 days to 46 days.
 - B) largest vendor changes its invoice terms from "3/10 net 30" to "3/10 net 60."
 - C) inventory turnover was below the industry average last year and is above the industry average this year.
-

Question #65 of 120

Question ID: 1214846

A portfolio manager who tracks the industry weights of a benchmark index, but within each industry selects stocks with favorable ESG factors, is said to be engaging in:

- A) active ownership.
 - B) thematic investing.
 - C) best-in-class investing.
-

Question #66 of 120

Question ID: 1214851

Faye Harlan, CFA, is estimating the cost of common equity for Cyrene Corporation. She prepares the following data for Cyrene:

- Price per share = \$50.
- Expected dividend per share = \$3.
- Expected retention ratio = 30%.
- Expected return on equity = 20%.
- Beta = 0.89.
- Yield to maturity on outstanding debt = 10%.
- The expected market rate of return is 12% and the risk-free rate is 3%.

Based on these data, Harlan determines that Cyrene's cost of common equity is 14%. Harlan *most likely* arrived at this estimate by using the:

- A) dividend discount model approach.
 - B) capital asset pricing model approach.
 - C) bond yield plus risk premium approach.
-

Question #67 of 120

Question ID: 1214856

Quixote Co. and Sisyphus Co., two similar-sized competitors, have had stable operating cycles of 180 days and cash conversion cycles of 140 days over the past several years. Sisyphus' operating and cash conversion cycles remained at these levels in the most recent year, but Quixote's cash conversion cycle contracted to 120 days while its operating cycle remained at 180 days. Relative to Sisyphus, Quixote has *most likely* begun:

- A) taking more time to pay its suppliers.
 - B) operating with less inventory on hand.
 - C) offering easier credit terms to its customers.
-

Question #68 of 120

Question ID: 1214849

A company prepares a chart with the net present value (NPV) profiles for two mutually exclusive projects with equal lives of five years. Project Jones and Project Smith have the same initial cash outflow and total undiscounted cash inflows, but 75% of the cash inflows for Project Jones occur in years 1 and 2, while 75% of the cash inflows for Project Smith occur in years 4 and 5. Which of the following statements is *most accurate* regarding these projects?

- A) Project Smith has a higher internal rate of return than Project Jones.
 - B) There is a range of discount rates in which the optimal decision is to reject both projects.
 - C) There is a range of discount rates in which the company should choose Project Jones and a range in which it should choose Project Smith.
-

Question #69 of 120

Question ID: 1214848

Two of the typical steps in the capital budgeting process are:

- A) analyzing project proposals and raising additional capital.
 - B) raising additional capital and creating the firm-wide capital budget.
 - C) analyzing project proposals and creating the firm-wide capital budget.
-

Question #70 of 120

Question ID: 1214847

Which of the following board committees is *most likely* to be required by regulations?

- A) Audit committee.
 - B) Nominations committee.
 - C) Compensation committee.
-

Question #71 of 120

Question ID: 1214854

Under what conditions will the percentage change in a company's earnings per share be larger than the percentage change in its earnings before interest and taxes (EBIT)? The company's degree of:

- A) operating leverage is positive.
 - B) total leverage is greater than one.
 - C) financial leverage is greater than one.
-

Question #72 of 120

Question ID: 1214852

A new project will require a company to issue both debt and common equity. In estimating the project's net present value (NPV), an analyst increases the initial outlay for this project by the flotation cost of the equity securities. Has the analyst treated flotation costs correctly?

- A) Yes.
 - B) No, because flotation costs are a sunk cost.
 - C) No, because the cost of capital should be adjusted for flotation costs.
-

Question #73 of 120

Question ID: 1214864

Questions 73 through 86 relate to Equity Investments. (21 minutes)

An analyst classifies Mettler, Inc., an operator of retail grocery stores, in the same industry group as Powell Corporation, a manufacturer of industrial machinery. This analyst's classification system is *most likely* based on:

- A) statistical methods.
 - B) products and services.
 - C) sensitivity to the business cycle.
-

Question #74 of 120

Question ID: 1214859

To ensure the continuity of a value-weighted index when one of the stocks in the index is split:

- A) no adjustment is necessary.
 - B) only the denominator must be adjusted for the split.
 - C) both the numerator and the denominator must be adjusted for the split.
-

Question #75 of 120

Question ID: 1214870

Robert Higgins is estimating the price-earnings (P/E) ratio that will be appropriate for an index at the end of next year. He has estimated that:

- Expected annual dividends will increase by 10% compared to this year.
- Expected earnings per share will increase by 10% compared to this year.
- The expected growth rate of dividends will be the same as the current estimate of 5%.
- The required rate of return will rise from 8% to 11%.

Compared to the current P/E, the end-of-the-year P/E will be:

- A) 50% lower.
 - B) 2% higher.
 - C) 10% higher.
-

Question #76 of 120

Question ID: 1214867

An analyst gathered the following data about a stock:

- The stock paid a \$1 dividend last year.
- Next year's dividend is projected to be 10% higher.
- The stock is projected to sell for \$25 at the end of the year.
- The risk-free rate of interest is 8%.
- The expected return on the market is 13%.
- The stock's beta is 1.2.

The value of the stock today is *closest* to:

- A) \$19.45.
 - B) \$22.89.
 - C) \$26.74.
-

Question #77 of 120

Question ID: 1214857

A contract that requires one party to pay \$100,000 each quarter to another company that will make a variable quarterly payment based on the market value of an equities portfolio is referred to as:

- A) a swap.
 - B) an index option.
 - C) portfolio insurance.
-

Question #78 of 120

Question ID: 1214866

Visser, Inc. is an unprofitable fishing enterprise. Visser rents most of its boats and equipment but owns valuable transferable fishing quotas. If a competitor is interested in acquiring Visser, the *most appropriate* equity valuation model to use is:

- A) an asset-based valuation model.
- B) an earnings multiplier model.

C) a Gordon growth model.

Question #79 of 120

Question ID: 1214868

A firm has a constant growth rate of 7% and just paid a dividend of \$6.25. If the required rate of return is 12%, what will the stock sell for two years from now based on the dividend discount model?

- A) \$133.75.
 - B) \$149.80.
 - C) \$153.13.
-

Question #80 of 120

Question ID: 1214863

In a transaction referred to as a management buyout (MBO):

- A) management sells its shares to an investor group attempting to gain control of a company.
 - B) management buys a controlling interest in a public company to gain control of the board of directors.
 - C) an investor group that includes management buys all the shares of a company and they no longer trade on an exchange.
-

Question #81 of 120

Question ID: 1214865

Archer Products is in an industry that has experienced low levels of price competition but recently excess capacity has led to aggressive price cutting. An analyst would be *least likely* to describe Archer's industry as:

- A) concentrated and with high barriers to exit.
 - B) in the shakeout stage with low concentration.
 - C) in the maturity stage with high barriers to entry.
-

Question #82 of 120

Question ID: 1214869

Assume the Wansch Corporation is expected to pay a dividend of \$2.25 per share this year. Sales and profit for Wansch are forecasted to grow at a rate of 20% for two years after that, then grow at 5% per year forever. Dividend and sales growth are expected to be equal. If Wansch's shareholders require a 15% return, the per-share value of Wansch's common stock based on the dividend discount model is *closest* to:

- A) \$22.75.
- B) \$26.00.
- C) \$28.50.

Question #83 of 120

Question ID: 1214861

Under which of the following conditions are market values of securities *most likely* to be persistently greater than their intrinsic values?

- A) Short selling is restricted.
 - B) Transactions costs are high.
 - C) Arbitrage trading is restricted.
-

Question #84 of 120

Question ID: 1214858

Moore Company stock is currently trading at \$40 per share. An investor attempting to protect against losses of more than 10% on a short position in Moore should place a:

- A) stop buy order at \$44.
 - B) stop sell order at \$36.
 - C) limit buy order at \$44.
-

Question #85 of 120

Question ID: 1214860

A multi-market index is *most likely* to overweight countries that have recently experienced high equity market returns if it weights the securities in each country index by:

- A) dividend yield, and weights the country index returns by market capitalization.
 - B) dividend yield, and weights the country index returns by gross domestic product.
 - C) market capitalization, and weights the country index returns by gross domestic product.
-

Question #86 of 120

Question ID: 1214862

An analyst with Guffman Investments has developed a stock selection model based on earnings announcements made by companies with high P/E stocks. The model predicts that investing in companies with P/E ratios twice that of their industry average that make positive earnings announcements will generate significant excess return. If the analyst has consistently made superior risk-adjusted returns using this strategy, which form of the efficient market hypothesis has been violated?

- A) Weak form only.
 - B) Semistrong and strong forms only.
 - C) Strong, semistrong, and weak forms.
-

Question #87 of 120

Question ID: 1214873

Questions 87 through 99 relate to Fixed Income. (19.5 minutes)

An analyst collects the following spot rates, stated as annual BEYs:

- 6-month spot rate = 6%.
- 12-month spot rate = 6.5%.
- 18-month spot rate = 7%.
- 24-month spot rate = 7.5%.

Given only this information, the price of a 2-year, semiannual-pay, 10% coupon bond with a face value of \$1,000 is *closest* to:

- A) \$918.30.
 - B) \$1,000.00.
 - C) \$1,046.77.
-

Question #88 of 120

Question ID: 1214880

A bond has an effective duration of 7.5. If the bond yield changes by 100 basis points, the price of the bond will change by:

- A) exactly 0.75%.
 - B) approximately 7.5%.
 - C) approximately 0.75%.
-

Question #89 of 120

Question ID: 1214878

Which of the following *best* describes the motivation for a corporation to issue securitized bonds? Securitization of specific assets by a corporation enables the corporation to:

- A) improve the recovery rate in the event of default.
 - B) use the assets as collateral for additional borrowing.
 - C) get a credit rating on the bonds that will result in a lower cost of borrowing.
-

Question #90 of 120

Question ID: 1214871

Which of the following is a risk faced by issuers of commercial paper?

- A) Default risk.
 - B) Rollover risk.
 - C) Reinvestment risk.
-

Question #91 of 120

Question ID: 1214881

Other things equal, an increase in an option-free bond's yield to maturity will:

- A) increase its interest rate risk.
- B) decrease its interest rate risk.
- C) not change its interest rate risk.

Question #92 of 120

Question ID: 1214876

An analyst collects the following information regarding spot rates:

- 1-year rate = 4%.
- 2-year rate = 5%.
- 3-year rate = 6%.
- 4-year rate = 7%.

The 2-year forward rate two years from today is *closest* to:

- A) 7.02%.
- B) 8.03%.
- C) 9.04%.

Question #93 of 120

Question ID: 1214884

A credit analyst determines the following selected financial ratios for three firms in an industry after making all appropriate adjustments:

	Johnson	Knight	Lawrence
EBIT/revenue	0.25	0.30	0.35
EBIT/interest	12.5	14.0	10.5
Debt/capital	0.55	0.70	0.35
Revenue/assets	0.20	0.15	0.10

In evaluating the creditworthiness of these firms, the analyst should conclude that:

- A) Knight has the most favorable leverage and Johnson has the most favorable coverage.
- B) Lawrence has the most favorable leverage and Knight has the most favorable coverage.
- C) Johnson has the most favorable leverage and Lawrence has the most favorable coverage.

Question #94 of 120

Question ID: 1214882

How should an analyst interpret a downward-sloping term structure of yield volatility? Short-term interest rates are:

- A) higher than long-term interest rates.
 - B) more stable than long-term interest rates.
 - C) more variable than long-term interest rates.
-

Question #95 of 120

Question ID: 1214872

Parsons Inc. is issuing an annual-pay bond that will pay no coupon for the first five years and then pay a 10% coupon for the remaining five years to maturity. The 10% coupon interest for the first five years will all be paid (without additional interest) at maturity. If the annual YTM on this bond is 10%, the price of the bond per \$1,000 of face value is *closest* to:

- A) \$778.
 - B) \$814.
 - C) \$856.
-

Question #96 of 120

Question ID: 1214875

For a 5-year pure discount bond that is callable at par after two years, which of the following yield measures will be lowest?

- A) Current yield.
 - B) Yield to first call.
 - C) Yield to maturity.
-

Question #97 of 120

Question ID: 1214879

What is *most likely* to happen to the prepayment rate and the weighted average life of a typical pass-through security if mortgage rates decrease?

- A) Both will increase.
 - B) Both will decrease.
 - C) One will increase and one will decrease.
-

Question #98 of 120

Question ID: 1214874

Accrued interest is the difference between a coupon bond's:

- A) flat price and full price.
- B) clean price and flat price.
- C) invoice price and dirty price.

Question #99 of 120

Question ID: 1214883

In what way is approximate convexity different from effective convexity?

- A) Effective convexity takes embedded options into account, while approximate convexity does not.
- B) Effective convexity results in a more accurate estimate of an option-free bond's change in price than approximate convexity.
- C) Approximate convexity can be used with an unequal increase and decrease in yield, while effective convexity can only be used with an equal increase or decrease in yield.

Question #100 of 120

Question ID: 1214887

Questions 100 through 105 relate to Derivatives. (10.5 minutes)

A programming error resulted in the issuance of a forward contract that ignored the convenience yield investors realize from holding the underlying asset. To gain an arbitrage profit from this error, an arbitrageur's position would *most likely* include a long position in the:

- A) forward contract.
- B) underlying asset.
- C) risk-free asset.

Question #101 of 120

Question ID: 1214889

Compared to an otherwise identical European put option, one that has a longer time to expiration:

- A) may be worth less than the put that is nearer to expiration.
- B) must be worth more than the put that is nearer to expiration.
- C) must be worth at least as much as the put that is nearer to expiration.

Question #102 of 120

Question ID: 1214891

An analyst using a one-period binomial model calculates a probability-weighted average of an option's values following an up-move and a down-move. According to this model, this average is *most likely*:

- A) equal to the option's value today.
 - B) less than the option's value today.
 - C) greater than the option's value today.
-

Question #103 of 120

Question ID: 1214888

Market conditions have increased the storage costs and decreased the convenience yield of a commodity. Other things equal, what effects will these changes have on the value of a forward contract on that commodity? The forward contract value:

- A) will increase.
 - B) will decrease.
 - C) may increase or decrease.
-

Question #104 of 120

Question ID: 1214885

Which of the following statements *most accurately* represents the positions of the parties to a derivatives contract?

- A) A call option imposes an obligation to buy the underlying security.
 - B) A forward contract imposes an obligation on the seller but not the buyer.
 - C) Both a put writer and a call writer have an obligation to exchange the underlying asset.
-

Question #105 of 120

Question ID: 1214890

Given the put-call parity relationship, a synthetic underlying asset can be created by forming a portfolio of a:

- A) long call, long put, and short risk-free bond.
 - B) long call, short put, and long risk-free bond.
 - C) short call, long put, and long risk-free bond.
-

Question #106 of 120

Question ID: 1214886

In futures markets, the primary role of the clearinghouse is to:

- A) prevent arbitrage and enforce federal regulations.
 - B) act as guarantor to both sides of a futures trade.
 - C) reduce transaction costs by making contract prices public.
-

Question #107 of 120

Question ID: 1214892

Questions 107 through 113 relate to Alternative Investments. (10.5 minutes)

Which of the following characteristics *most likely* applies to private equity investing?

- A) Liquid secondary market.
- B) High degree of reliance on manager skill.

C) Relatively short-term investment horizon.

Question #108 of 120

Question ID: 1214893

Compared to traditional investment managers who invest in long-only stocks and bonds, alternative investment managers typically invest in assets that are:

- A) less regulated, less transparent, and less liquid.
 - B) more transparent, less liquid, and less correlated with traditional investments.
 - C) less transparent, more regulated, and less correlated with traditional investments.
-

Question #109 of 120

Question ID: 1214894

Supplying capital to companies that are just moving into operation, but do not as yet have a product or service available to sell, is a description that *best* relates to which of the following stages of venture capital investing?

- A) Early stage.
 - B) Mezzanine stage.
 - C) Angel investing stage.
-

Question #110 of 120

Question ID: 1214895

An equity hedge fund that uses technical analysis techniques to identify undervalued shares to buy and overvalued shares to sell short is *best* described as pursuing:

- A) a market neutral strategy.
 - B) a special situations strategy.
 - C) a quantitative directional strategy.
-

Question #111 of 120

Question ID: 1214896

A hedge fund that requires incentive fees to be calculated only on the portion of returns above a benchmark return is said to have a:

- A) soft hurdle rate.
 - B) hard hurdle rate.
 - C) high water mark.
-

Question #112 of 120

Question ID: 1214897

Compared to investing in commodities, investing in farmland is *most likely* to provide which of the following benefits?

- A) More liquidity.
 - B) Higher income.
 - C) Better inflation hedge.
-

Question #113 of 120

Question ID: 1214898

An investment in commodities will *most likely* provide returns from:

- A) cash flows from the assets.
 - B) the yield on collateral deposits.
 - C) changes in commodity spot prices.
-

Question #114 of 120

Question ID: 1214903

Questions 114 through 120 relate to Portfolio Management. (10.5 minutes)

In the context of the capital asset pricing model, an active manager would be *most likely* to purchase a security that plots:

- A) on the security market line.
 - B) below the security market line.
 - C) above the security market line.
-

Question #115 of 120

Question ID: 1214899

The investment needs of property and casualty insurers are characterized by a:

- A) short-term time horizon and low risk tolerance.
 - B) long-term time horizon and high risk tolerance.
 - C) short-term time horizon and high risk tolerance.
-

Question #116 of 120

Question ID: 1214900

Using historical index returns for an equities market over a 20-year period, an analyst has calculated the average annual return as 5.60% and the holding period return as 170%. The compound annual index return over the period is *closest* to:

- A) 2.69%.
- B) 5.09%.

C) 5.24%.

Question #117 of 120

Question ID: 1214904

Which portion of an investment policy statement is *most likely* to state any restriction on portfolio leverage?

- A) Procedures.
 - B) Investment guidelines.
 - C) Duties and responsibilities.
-

Question #118 of 120

Question ID: 1214901

When a risk-free asset is combined with a portfolio of risky assets, which of the following is *least accurate*?

- A) The standard deviation of the return for the newly created portfolio is the standard deviation of the returns of the risky asset portfolio multiplied by its portfolio weight.
 - B) The expected return for the newly created portfolio is the weighted average of the return on the risk-free asset and the expected return on the risky asset portfolio.
 - C) The variance of the resulting portfolio is a weighted average of the returns variances of the risk-free asset and of the portfolio of risky assets.
-

Question #119 of 120

Question ID: 1214902

If a stock's beta is equal to 1.2, its standard deviation of returns is 28%, and the standard deviation of the returns on the market portfolio is 14%, the covariance of the stock's returns with the returns on the market portfolio is *closest* to:

- A) 0.168.
 - B) 0.024.
 - C) 0.600.
-

Question #120 of 120

Question ID: 1214905

Non-financial sources of risk for an organization *most likely* include:

- A) credit risk.
- B) liquidity risk.
- C) solvency risk.